

FEDERAL MARITIME COMMISSION

DOCKET NO. 20-04

**DIP SHIPPING COMPANY, LLC -- REVOCATION OF OCEAN TRANSPORTATION
INTERMEDIARY LICENSE NO. 018752**

**REPLY BRIEF
OF THE
BUREAU OF ENFORCEMENT**

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FEDERAL MARITIME COMMISSION

DOCKET NO. 20-04

DIP SHIPPING COMPANY, LLC -- REVOCATION OF OCEAN TRANSPORTATION INTERMEDIARY LICENSE NO. 018752

REPLY BRIEF OF THE BUREAU OF ENFORCEMENT

I. INTRODUCTION.

This is a license revocation proceeding where the primary issue is whether an ocean transportation intermediary's (OTI) license should be revoked based on the federal conviction of the corporate respondent for its participation in a price fixing scheme in violation of U.S. antitrust laws. Based on the facts presented herein, revocation is clearly warranted by the Shipping Act of 1984 (Shipping Act), Federal Maritime Commission (Commission) regulations, and established legal precedent.

II. PROCEDURAL HISTORY.

On February 19, 2020, the Commission's Bureau of Certification and Licensing (BCL) issued a Notice of Intent to Revoke the OTI license of Dip Shipping Company, LLC (Dip Shipping or Respondent) on the basis that Dip Shipping is no longer qualified to provide intermediary services based on the separate criminal guilty pleas of Mr. Roberto Dip and Dip Shipping recently accepted by the U.S. District Court for the Southern District of Florida. Moreover, the failure of Dip Shipping or its replacement Qualifying Individual (QI) to inform the Commission that Dip Shipping in its corporate capacity had entered into a guilty plea served as an additional basis for

BCL's determination. On March 5, 2020, pursuant to the Commission's regulations at 46 C.F.R. §§ 515.17 and 502.702, Dip Shipping submitted a request for a hearing with the Office of the Secretary.

On March 16, 2020, the Commission issued a Notice of Hearing Request and Assignment transmitting this matter to the Office of Administrative Law Judges. Subsequently, on March 18, 2020, the presiding Administrative Law Judge (ALJ) issued a Notice and Initial Order notifying BOE of Dip Shipping's request for a hearing and BOE's resulting obligation to submit to the ALJ and Dip Shipping a copy of BCL's Notice of Intent to Revoke along with a copy of BCL materials supporting the Notice. BOE met this requirement pursuant to Rule 702(b), 46 C.F.R. § 702(b), on April 20, 2020 with its Submission of Materials Supporting Revocation along with an Appendix containing Exhibits 1-15 [referenced herein as "BOE Exhibit #, FMC#"]. Dip Shipping filed its response on May 21, 2020. Likewise, on May 21, 2020, the Antitrust Division of the U.S. Department of Justice (DOJ) submitted a motion to file a submission in this proceeding as *amicus curiae*. By order dated May 22, 2020, the ALJ requested that BOE address DOJ's *amicus curiae* submission in its reply brief due on June 10, 2020. BOE hereby submits its reply brief pursuant to Rule 704, 46 C.F.R. § 502.704, of the new Subpart X of the Commission's Rules of Practice and Procedure along with the Verified Statement of Clifford R. Johnson [hereinafter Johnson Verified Statement] who, in his capacity as the Acting Director of BCL, issued the Notice of Intent to Revoke to Respondent.

III. PROPOSED FINDINGS OF FACT (PFF).

PFF 1. Dip Shipping is a Louisiana limited liability company, organized in 2004. Johnson Verified Statement ¶ 3.

PFF 2. Dip Shipping maintains its principal offices at 2601 Marietta Avenue, Kenner, Louisiana 70062. Johnson Verified Statement ¶ 3.

PFF 3. Dip Shipping has been licensed to operate as an OTI pursuant to FMC license no. 018752 since March 2004. Johnson Verified Statement ¶ 4.

PFF 4. Mr. Roberto Dip was the president and Qualifying Individual (QI) of Dip Shipping from November 17, 2003 through, approximately, July 16, 2019. Johnson Verified Statement ¶ 5.

PFF 5. Ms. Margie Guadalupe Dip has been a corporate officer with the title of Manager of Dip Shipping from 2004 through the present. Johnson Verified Statement ¶¶ 5, 11.

PFF 6. On or about October 2, 2018, Mr. Roberto Dip entered into a signed agreement pleading guilty to a charge of participating in a conspiracy with other individuals and companies providing ocean transportation intermediary services for the purpose of fixing prices for those services and having the effect of eliminating or suppressing competition, in violation of the Sherman Antitrust Act, 15 U.S.C. § 1. Johnson Verified Statement ¶ 6.

PFF 7. BCL learned of Mr. Dip's guilty plea regarding his role in the price fixing scheme through a press release issued by the U.S. Department of Justice (DOJ) on November 30, 2018. Johnson Verified Statement ¶ 7.

PFF 8. On or about June 25, 2019, the U.S. District Court for the Southern District of Florida issued a Judgment imposing a prison sentence of 18 months and a criminal monetary

penalty of \$20,000.00 against Mr. Roberto Dip for his participation in a price fixing conspiracy in violation of 15 U.S.C. § 1. Johnson Verified Statement ¶ 13.

PFF 9. On or about July 16, 2019, Ms. Margie Guadalupe Dip submitted a Form FMC-18 application to BCL to become the replacement QI for Dip Shipping. Johnson Verified Statement ¶ 14.

PFF 10. On or about August 12, 2019, Mr. Roberto Dip transferred the entirety of his ownership in Dip Shipping to Ms. Margie Guadalupe Dip and Ms. Maria Dolores Dip, each of whom currently holds a 50 percent share in the company. Johnson Verified Statement ¶ 15.

PFF 11. Prior to the transfer of Mr. Roberto Dip's ownership interest, Ms. Margie Guadalupe Dip and Ms. Maria Dolores Dip each owned a 10 percent interest in Dip Shipping. Johnson Verified Statement ¶ 15.

PFF 12. Ms. Margie Guadalupe Dip was approved by BCL as the sole QI for Dip Shipping on September 3, 2019. Johnson Verified Statement ¶ 16.

PFF 13. On or about September 17, 2019, Dip Shipping was charged in the U.S. District Court for the Southern District of Florida as a corporate defendant for participating in a conspiracy with other companies providing ocean transportation intermediary services for the purpose of fixing prices for those services and having the effect of eliminating or suppressing competition, in violation of the Sherman Antitrust Act, 15 U.S.C. § 1. Johnson Verified Statement ¶ 17.

PFF 14. The Commission learned that Dip Shipping had been charged with an antitrust violation through a press release issued by DOJ on September 17, 2019. Johnson Verified Statement

¶ 17.

PFF 15. On or about October 25, 2019, Dip Shipping, through its representative, Ms. Margie Guadalupe Dip, entered into a signed agreement pleading guilty to a charge of participating in a price fixing conspiracy in the United States and elsewhere from September 2010 through March 2015, in violation of 15 U.S.C. § 1. Johnson Verified Statement ¶ 18.

PFF 16. On or about December 8, 2019, the U.S. District Court for the Southern District of Florida issued an Amended Judgment imposing a criminal monetary penalty of \$488,250.00 against Dip Shipping for its participation in a price fixing conspiracy, in violation of 15 U.S.C. § 1. Johnson Verified Statement ¶ 19.

PFF 17. As an applicant for approval of a replacement QI, Dip Shipping was obligated to disclose any pending criminal charges, discussions with DOJ regarding its corporate liability, as well as upon entry of its guilty plea with the U.S. District Court in accordance with 46 CFR §§ 515.12(e); 515.13(a), (b), (c); 515.16(a)(3); and 515.20(e). Johnson Verified Statement ¶ 20.

PFF 18. At no time on or after September 17, 2019, did Dip Shipping notify the Commission that the company was charged with a felony in the U.S. District Court for the Southern District of Florida as a corporate defendant. Johnson Verified Statement ¶ 21.

PFF 19. At no time on or after September 17, 2019, did Dip Shipping notify the Commission that the company pleaded guilty to a felony in the U.S. District Court for the Southern District of Florida as a corporate defendant. Johnson Verified Statement ¶ 22.

PFF 20. At no time on or after September 17, 2019, did Dip Shipping notify the Commission that the U.S. District Court for the Southern District of Florida entered judgment against Dip Shipping as a corporate defendant imposing a criminal monetary penalty for violation of

15 U.S.C. § 1. Johnson Verified Statement ¶ 23.

PFF 21. On February 19, 2020, BCL issued a Notice of Intent to Revoke Dip Shipping's OTI license, in accordance with 46 C.F.R. § 515.16, due to this plea agreement and conviction for Dip Shipping's violation of U.S. antitrust laws, as well as for its failure to report the pending criminal charges or the entry of its guilty plea as a corporate defendant. Johnson Verified Statement ¶ 24.

IV. LEGAL ARGUMENT.

A. The Appropriate Burden and Standard of Proof

Section 19(a) of the Shipping Act, 46 U.S.C. § 40901, governs the licensing of OTIs. Section 19(c), 46 U.S.C. § 40903(a), provides in relevant part that the Commission:

... after notice and opportunity for hearing, shall suspend or revoke an ocean transportation intermediary's license if the Commission finds that the ocean transportation intermediary – (1) is not qualified to provide intermediary services; or (2) willfully failed to comply with a provision of this part or with an order or regulation of the Commission.

The Commission's implementing regulations provide in relevant part that a license may be revoked for "[v]iolation of the Act, or any other statute or Commission order or regulation related to carrying on the business of an ocean transportation intermediary;" or where the Commission determines "that the licensee is not qualified to render intermediary services." 46 C.F.R. §§ 515.16(a)(1) and (4).

The proponent of a rule or order has the burden of proof. 5 U.S.C. § 556(d); 46 C.F.R. § 502.155. A party alleging a violation of the Shipping Act has the burden to establish the violation. Docket No. 15-03, *John T. Barbour, et al. – Possible Violations*, __ S.R.R. __ (ALJ 2016) (slip

op. at 6, served Jan. 20, 2016) (Notice Not to Review served Feb. 23, 2016), [2016 FMC LEXIS 1](#). BOE, as the proponent of an order revoking the license of Dip Shipping, has the burden of proof. Properly understood as the burden of persuasion, see *Director, Office of Workers' Compensation Programs v. Greenwich Collieries*, 512 U.S. 267, 276 (1994), the party with the burden in an administrative proceeding must prove its case by a preponderance of the evidence. *Portman Square Ltd. – Possible Violations*, 28 S.R.R. 80, 84 (ALJ 1998). A preponderance of the evidence means that the evidence makes the existence of a fact more probable than not. *William R. Adair v. Penn-Nordic Lines, Inc.*, 26 S.R.R. 11, 15 (ALJ 1991). It is also appropriate to draw inferences from certain facts when direct evidence is not available and circumstantial evidence may be sufficient. *Waterman Steamship Corps. v. General Foundries, Inc.*, 26 S.R.R. 1173, 1180 (ALJ 1993).

BOE submits that the evidence of record in this proceeding clearly establishes that the license of Dip Shipping should be revoked in accordance with the provisions of the Shipping Act, Commission regulations, and settled precedent.

B. The Revocation of Dip Shipping's OTI License is Fully Warranted

1. Dip Shipping stands criminally convicted for price fixing

The Commission has historically taken the position that it has a statutory duty to ensure that access to those it regulates is limited to licensees who are fit, willing, and able to conduct their business in accordance with high standards of conduct. *Harry Kaufman d/b/a International Shippers Co. of N.Y. – Independent Ocean Freight Forwarder License No. 35*, 16 F.M.C. 264, 271 (Examiner 1972). The Commission has a strong policy interest in revoking an OTI license to protect the shipping public from those who choose not to comply with the Shipping Act's

requirements and to underscore the ongoing and continuous obligation to demonstrate the necessary character to obtain, and retain, an OTI license. *Stallion Cargo, Inc. – Possible Violations of Sections 10(a)(1) and 10(b)(1) of the Shipping Act of 1984*, 29 S.R.R. 665, 684 (FMC, 2001), [2001 FMC LEXIS 20](#) (“The ability to demonstrate the necessary character to obtain and possess a license is one that should not be taken lightly”).

There is longstanding Commission precedent supporting denial or revocation of a license where the entity has been found guilty of federal crimes or conduct implicating moral turpitude. In *G.R. Minon – Freight Forwarder License*, the Commission denied a license where the “applicant knowingly cooperated in the diversion of [otherwise legal] drug shipments. . . .” 12 F.M.C. 75, 82 (FMC 1968). The Commission held that involvement with an illegal scheme, together with other indications of moral turpitude, provided sufficient evidence for lack of personal responsibility and a lack of character justifying the Commission’s denial of the application. *Id.* at 80-82. Perpetration of federal offenses rises to the level of the most egregious circumstances warranting revocation. See *In the Matter of Ocean Transportation License in the Name of Apparel Logistics, Inc., Petition for Appeal from Staff Action or in the Alternative for Initiation of an Investigation*, 30 S.R.R. 567, 570 (FMC 2004) (“Prior decisions have held that revoking or suspending an OTI license should be limited to the most egregious circumstances, such as OTIs violating the Shipping Act or Commission regulations, committing other federal offenses, or materially misrepresenting information regarding their qualifications.”), citing *Stallion Cargo, Inc. – Possible Violations of Sections 10(a)(1) and 10(b)(1) of the Shipping Act of 1984*, 29 S.R.R. 665, 683-4 (FMC 2001); *AAA Nordstar Line Inc. – Revocation of License No. 12234*, 29 S.R.R. 663 (FMC 2002); *Commonwealth Shipping Ltd., Cargo Carriers Ltd., Martyn C. Merritt and Mary Anne Merritt—Submission of Materially False or Misleading Statements to the Federal Maritime*

Commission and False Representation of Common Carrier Vessel Operations, 29 S.R.R. 1408, 1412-1414 (FMC 2003).

More recently, revocation has further been found appropriate when the Commission can no longer rely upon the honesty and integrity of the licensee or its principals to the extent necessary to ensure future conduct within the confines of the statute and regulations. *AAA Nordstar Line Inc.*, 29 S.R.R. at 664. *See also Falcon Shipping Inc., Abdiel Falcon – Application for a License as an Ocean Transportation Intermediary*, 32 S.R.R. 382 (FMC 2012), [2002 FMC LEXIS 17](#) (upholding the denial of a license application because the applicant lacked the requisite character for issuance of an OTI license based on the facts that the company’s principal and proposed QI had been convicted of smuggling under federal law). In *Revocation of Ocean Transportation Intermediary License No. 017843 – Washington Movers, Inc.* [hereinafter *Washington Movers*], affirming the revocation of Respondent’s license, the Commission found the Respondent liable for violating federal statutes because its owner and QI was acting within the scope of his employment with the intent of benefitting the company when he engaged in felony weapons smuggling. 1 F.M.C.2d 5, 15 (FMC 2018), [2018 FMC LEXIS 1](#). Thus, the Commission took into consideration the conduct of both the corporate Respondent and its QI in determining that the licensee was “unqualified to render OTI services under Commission precedent.” *Id.* at 18, *citing Falcon Shipping*, 32 S.R.R. at 384 (denying OTI application for lack of requisite character because, among other things, individual violated the Shipping Act and was involved in an illegal scheme and deceptive practice); *Stallion Cargo, Inc.*, 29 S.R.R. at 683-84 (finding licensee lacked necessary character due to Shipping Act violations); *Indep. Freight Forwarder License E.L. Mobley, Inc.*, 21 F.M.C. 845, 847 (FMC 1979) (finding that forgery reflected on fitness); *Independent Ocean Freight Forwarder Application Lesco Packing Co.*, 19 F.M.C. 132, 137 (FMC 1976); *Harry*

Kaufman – Independent Ocean Freight Forwarder License No. 35, 16 F.M.C. at 276-77.

Particularly relevant to rounding out this legal analysis is the fact that revocation of an OTI license by the Commission does not have to be triggered by an occurrence as egregious as a felony violation of a federal statute. In the recent past, there are at least two instances where the Commission revoked an OTI license because of a licensee’s failure to maintain an active QI. See *Revocation of Ocean Transportation Intermediary License No. 016019N – Central Agency of Florida, Inc.*, 31 S.R.R. 486, 487 (FMC 2008), [2008 FMC LEXIS 5](#) (finding that Respondent “failed to meet its obligations to maintain a QI under 46 CFR §§ 515.11(a), (b) and 515.18(c) as a condition of its license to operate as an OTI”); *Revocation of Ocean Transportation Intermediary License No. 022025 – Cargologic USA LLC*, 33 S.R.R. 666, 669 (FMC 2014), [2014 FMC LEXIS 45](#) (concluding that Respondent failed to report the resignation of its QI and file an application for a replacement QI in violation of 46 C.F.R. § 515.18(a)(6)).

Most of the relevant facts in this case are not in dispute and the governing law is settled.¹ In view of the magnitude of Commission precedent on the issue, it is clear that Dip Shipping’s guilty plea in federal court to the crime of participating in a price fixing conspiracy constitutes violations of a statute related to carrying on OTI business, and therefore, establishes that Dip Shipping is no longer qualified to provide intermediary services within the meaning of § 40903 of the Shipping Act and 46 C.F.R. § 515.16(a)(4). PFF 15, 16; BOE Exhibit 12, FMC214-215; BOE Exhibit 13, FMC232 – FMC236.

The Response filed by Dip Shipping attempts to downplay its criminal violations by couching them as allegations that occurred five years ago. However, those “alleged” activities

¹ Dip Shipping concedes that it generally concurs with “Bureau of Enforcement’s Attachment A’s ‘Supporting Statement of Facts Constituting Basis for Commission Action’”, except for the last three numbered paragraphs. See *Response by Dip Shipping Company, LLC* at 2.

now constitute solid facts that form the basis of Dip Shipping's plea agreement and subsequent conviction occurring approximately 6 months ago on October 25, 2019 and December 8, 2019, respectively. PFF 15, 16. The timing of the antitrust violations themselves was not a primary factor for either of BCL's licensing determinations with respect to Dip Shipping. When Mr. Roberto Dip pleaded guilty and was subsequently convicted on June 25, 2019 in federal court, BCL nonetheless permitted Dip Shipping to retain its license while approving Ms. Margie Dip to become the replacement QI. PFF 12. This was premised on Mr. Dip having divested himself entirely of all ownership interest in Dip Shipping. PFF 10, 11. BCL's issuance of the Notice of Intent to Revoke was triggered by Dip Shipping, in its corporate capacity, entering into a plea agreement admitting violations of the antitrust laws and subsequently being convicted and criminally fined for price fixing while providing freight forwarding services (*i.e.*, OTI services) in the foreign commerce of the United States. PFF 21. The impact of Dip Shipping's illegal activity is very serious.

According to Paragraph No. 4(a) of the plea agreement, during the relevant time period, Respondent's sales of freight forwarding services to U.S. customers impacted by the price fixing conspiracy totaled at least \$6,497,487. BOE Exhibit 12, FMC214 – FMC215. Moreover, while neither Ms. Margie Dip nor Ms. Maria Dip were indicted in Dip Shipping's price fixing conspiracy, it is important to note that Paragraph No. 16(a) of Dip Shipping's plea agreement nonetheless grants immunity from federal prosecution to both "for any act or offense committed before the date of signature of this Plea Agreement."² BOE Exhibit 12, FMC225.

² The text of paragraph 16(a) of the plea agreement reads in relevant part as follows: "(a) Upon the Court's acceptance of the guilty plea called for by this Plea Agreement and the imposition of the recommended sentence and subject to the exceptions noted in subparagraph 16(c), the United States agrees that it will not bring criminal charges against any current director, officer, or employee of the defendant for any act or offense committed before the date of signature of this Plea Agreement and while

If Ms. Margie Dip and Ms. Maria Dip were indeed uninvolved in the prior illegal acts of Mr. Roberto Dip and Dip Shipping as is contended in Respondent's filing, then presumably there would likewise be no need to immunize them from criminal prosecution. As addressed more fully below, it is important to emphasize that, contrary to the Commission's regulations, Dip Shipping did not notify BCL of this information during the replacement QI process. All these critical factors combine to make Dip Shipping's license retention untenable under the Shipping Act and 40 years of Commission licensing precedent.

In an effort to buttress its case, Dip Shipping cites a series of press releases referencing criminal fines assessed by DOJ in 2014 and 2015 against vessel operating common carriers (VOCCs), Kawasaki Kisen Kaisha Ltd. (K-Line) and Compania Sud Americans de Vapores S.A. (CSAV) for price fixing with respect to ocean shipping services for automobiles. These VOCCs are not OTIs and they are not required to obtain an OTI license.

K-Line and CSAV entered into settlement agreements with the Commission for failures to abide by the Shipping Act with respect to and acting in concert with other ocean common carriers under unfiled agreements involving shipments of automobiles and other motorized vehicles on RO/RO or specialized car carrier vessels in various U.S. import and export trades. These agreements had not been filed with the Commission or become effective under the Shipping Act in violation of Section 10(a) of the Shipping Act, 46 U.S.C. § 41102(b).

Consequently, Respondent's comparison of Dip Shipping's violations as an OTI with the

that person was acting as a director, officer, or employee of the defendant that was undertaken in furtherance of an antitrust conspiracy involving the sale of freight forwarding services in the United States and elsewhere ("Relevant Offense"), except that the protections granted in this paragraph do not apply to Robert Dip and Jason Handal who have entered separate plea agreements with the United States."

violations of K-Line and CSAV is erroneous. The press releases, while somewhat interesting, are irrelevant to this proceeding because neither K-Line³ nor CSAV is an OTI or subject to licensing. Notably however, both VOCCs paid substantial sums in criminal fines including one instance of CSAV paying \$625,000 in civil penalties to the Commission for violations of the Shipping Act. This license revocation proceeding seeks to revoke Dip Shipping's license, it does not seek to impose civil penalties.

a. DOJ's *Amicus Curiae* Submission

The Antitrust Division (the Division) of DOJ has opted to get involved in this proceeding by putting forward a Motion to File a Submission as *Amicus Curiae* on May 21, 2020. This *amicus* submission is based on Paragraph No. 18 in the plea agreement which compels the Division, if requested, to provide government agencies considering debarment or other actions against Dip Shipping with information regarding the fact, manner and extent of its cooperation with the Division's investigation. *Id.* at 2, 5. The Division states that it takes no position on the outcome of this proceeding and that the *amicus* submission is not being filed in support of the Respondent or BOE. *Id.* at 2. Rather, the submission is meant to be informative to the Commission regarding Dip Shipping's ongoing obligation to pay its criminal monetary penalty per the terms of its plea agreement and the resulting judgement entered by the U.S. District Court. *Id.*

Rule 73 of the Commission's Rules of Practice and Procedure provides guidelines for *amicus* filings by requiring leave from the Commission or the presiding ALJ for such a filing unless the filer is the United States or a federal agency. 46 C.F.R. § 502.73. As the Commission recently noted, it "has broad discretion in deciding whether to grant leave for an *amicus* brief." *In*

³ Contrary to counsel's assertion in his filing, "K" Line Logistics was not a subject of the settlements described in the press releases.

re: Vehicle Carrier Services, 1 F.M.C.2d 175, 177 (FMC 2018).

While the Commission has historically allowed *amicus* filings pursuant to Rule 73, as the ALJ correctly notes in her order of May 22, 2020, there is nothing in Subpart X that allows the consideration, even on a discretionary basis, of *amicus* filings. Rule 709 of the Commission's regulations at 46 C.F.R. § 502.709 expressly excludes most procedures under Subparts A through Q with a few limited exceptions. It should be noted that none of those exceptions include any portion of Subpart E which encompasses Rule 73. This intent aligns with the Commission's effort to effectuate "a more streamlined procedure than a typical hearing under subpart 502. . . ." 85 Fed. Reg. 5580 (2020). In consideration of the Commission's clear objective that the process outlined in Subpart X be exclusive and binding, BOE contends that the Division's *amicus* filing should be given no weight inasmuch as DOJ's support for Dip Shipping is equivocal and the result of a deal made by DOJ with the criminal respondent, to which the Commission was not a party.

If the ALJ nonetheless determines to accept the Division's *amicus* filing, then it should be viewed in the context it was presented, as a fulfillment of a term in the plea agreement to primarily provide information regarding Dip Shipping's level of cooperation and criminal fine. By negotiating this plea agreement with DOJ, Dip Shipping already received the benefit of a reduced criminal penalty and stands to potentially benefit further as it continues to cooperate with the Division's investigations. Retention of its OTI license should not be viewed as a benefit that is related in any manner to Dip Shipping's independent arrangement with DOJ. As stated earlier, licensing has long been strictly within the purview of the Commission and its interest in protecting the shipping public. The *amicus* filing by the Division does not supersede that oversight and regulatory responsibility.

2. Dip Shipping and its QI Failed in Their Duty to Notify the Commission of Dip Shipping's Criminal Conviction for Price Fixing

A license may be revoked for “[v]iolation of any provision of . . . any Commission order or regulation related to carrying on the business of an ocean transportation intermediary.” 46 C.F.R. § 515.16(a)(1). The Commission’s regulations require applicants for OTI licenses to “promptly advise the Commission of any material changes in the facts submitted in the application.”. 46 C.F.R. § 515.12(e). Similarly, the regulations require licensees to notify the Commission of any changes in material fact “within thirty (30) days of such changes, in writing by mail or email (*bcl@fmc.gov*) to the Director, Bureau of Certification and Licensing, Federal Maritime Commission, Washington, DC 20573.” 46 C.F.R. § 515.20(e). Such material changes include “any criminal indictment or conviction of a licensee, QI, or officer; . . .” *Id.* A licensee is charged with knowledge of all the requirements of the Commission’s regulations at Part 515.

In addition to its felony conviction for price fixing, this matter is complicated by the failures of Dip Shipping and its QI, Ms. Margie Dip, to notify the Commission of the felony charge against the company, as well as the company’s subsequent guilty plea, and judgement entered in federal court imposing a criminal monetary penalty against the company. PFF 18, 19, 20. As an applicant for approval of a replacement QI and a licensee, Dip Shipping had an affirmative duty to inform BCL in writing of its criminal indictment, plea agreement, and conviction within 30 days of the occurrence of these events. In Paragraph No. 8 of her declaration, dated May 21, 2020, and attached to Dip Shipping’s Response, Ms. Margie Dip claims that she was unaware that she personally had to inform the Commission of Dip Shipping’s guilty plea. Ms. Dip further claims in Paragraph Nos. 9 and 10 that she had assumed that DOJ and Mr. Joel Denaro, Dip Shipping’s criminal defense attorney, were keeping the Commission informed of Dip Shipping’s status. In turn, per Mr. Denaro’s sworn statement of March 21, 2020, Paragraph Nos. 19 and 20 indicate his

reliance on DOJ as the conduit of communications with the Commission regarding Dip Shipping and its ongoing criminal matter.

Despite this exercise in finger pointing between Ms. Dip and her counsel, the undisputed fact is that Ms. Margie Dip has been the QI for Dip Shipping since September 3, 2019. PFF 12. In qualifying to be the replacement QI, she relied on her employment experience with Dip Shipping that goes back to 2004 when the company first became licensed under the leadership of Mr. Roberto Dip. PFF 5; BOE Exhibit 2, FMC125; BOE Exhibit 6, FMC142 – FMC143. In fact, Ms. Dip has been a corporate officer of Dip Shipping for the past 16 years and, until August 12, 2019, had a 10 percent ownership interest in the company, at which time Mr. Roberto Dip transferred his majority share of the company equally to Ms. Dip and her sister Ms. Maria Dolores Dip, each of whom currently holds a 50 percent interest in Dip Shipping. PFF 10, 11. When Ms. Margie Dip submitted Form FMC-18 to become Dip Shipping’s replacement QI, she signed a certification dated July 16, 2019 stating that she “received and read a copy of the Commission’s ocean transportation intermediary regulations, 46 C.F.R. Part 515, and pertinent sections of the Shipping Act of 1984, as amended by the Ocean Shipping Reform Act of 1998 . . . governing the licensing of ocean transportation intermediaries, and that [she] will abide by all the provisions thereof from this date forward.” BOE Exhibit 6, FMC164.

Ms. Margie Dip’s claim that she was unaware of Dip Shipping’s duty to inform the Commission in writing regarding Dip Shipping’s criminal case in federal court is, therefore, disingenuous. If such a claim sounds familiar, it is because it mirrors a similar assertion made by Mr. Roberto Dip in his email to BCL dated January 7, 2019 wherein he stated that he did not know that he “had 30 days to report [his] Court issue to the FMC”. BOE Exhibit 4, FMC133. Mr. Dip was the QI of Dip Shipping at the time of that assertion and had likewise signed an identical

certification in Form FMC-18 dated November 17, 2003 that he had received and read a copy of Part 515 of the Commission's regulations and that he agreed to abide by those regulations going forward. BOE Exhibit 2, FMC128. The result of this collective failure on the part of the former and current QIs is that, with respect to both Mr. Dip's criminal case and that of Dip Shipping several months later, BCL only learned of these matters via DOJ press releases rather than the required notification from the licensee in accordance with 46 C.F.R. §§ 515.12(e) and 515.20(e). PFF 7, 14.

In an effort to avoid the consequences of the Dips' own failure to abide by Part 515 of the Commission's regulations, Respondent now embarks upon a quest for an elaborate discovery process that is specifically excluded by the rules of Subpart X. Although Subpart J of the Commission's regulations normally governs all discovery matters in Commission proceedings, Rule 709 imposes limitations, 46 C.F.R. § 502.709, regarding permissible process under Subpart X. Specifically, while Rule 709(b) enumerates certain limited exceptions, it should be noted that none of those listed items includes any portion of Subpart J. This aligns with the Commission's intent to "ensure a more streamlined procedure than a typical hearing under part 502, which allows for 150 days for discovery, while giving the presiding officer more flexibility in conducting the hearing than the current § 515.17 procedures." 85 Fed. Reg. 5580 (Jan. 31, 2020). In an accompanying footnote to that statement, the Commission specifically explained, "[g]iven that the record in OTI license application and revocation/suspension is generally more limited, such a substantial discovery process is not necessary." *Id.* In the instant case, BOE and BCL submitted on April 20, 2020, a full record of all factual materials relevant to the determination that Dip Shipping's license should be revoked; Dip Shipping's counsel points to no deficiencies or failures in BCL's compliance with the requirements of 46 C.F.R. § 502.702(b). In view of the

Commission's intent to streamline license revocation proceedings, the requests by Dip Shipping for discovery and/or a hearing would undermine Subpart X from the grant of discovery or a hearing.

Respondent also requests an oral hearing pursuant to Rule 706 of Subpart X, 46 C.F.R. § 502.706. While the ALJ has discretion to order such a hearing, BOE submits that given the evidentiary record in this proceeding, including the signed, sworn statements of Mr. Clifford Johnson and Ms. Margie Dip, an oral hearing serves only to grant a further, unwarranted reprieve from revocation of Respondent's license. As the facts supporting such revocation are largely undisputed by counsel, additional proceedings will only cause unnecessary delay and expense without offering any novel information on the issue of whether the licensee provided the required written notification to the Commission of its criminal case.⁴ According to Mr. Johnson's Verified Statement, the legally mandated, written notifications were not in fact provided by Dip Shipping to BCL. PFF 18, 19, 20. And per Ms. Dip's declaration, she was unaware that, in her capacity as corporate officer and QI of Dip Shipping, she was required to provide such notification. Consequently, there is no factual ambiguity regarding Dip Shipping's lack of compliance and resulting violation of Part 515. BOE therefore requests that the ALJ deny Dip Shipping's request accordingly.

⁴ In enacting Subpart X, the Commission not only emphasized its goal of an efficient and low-burden process, but also specifically expressed its expectation that the use of oral hearing procedures would be "the exception rather than the norm." 85 Fed. Reg. 5581 (2020).

V. **CONCLUSION,**

For the reasons set forth above, BOE urges the presiding ALJ to uphold the February 19, 2020 determination of BCL, pursuant to 46 C.F.R. § 515.16, to revoke Respondent's OTI license. BOE further requests that Respondent be directed to cease and desist all OTI activities.

Respectfully submitted,

**BENJAMIN
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CERTIFICATE OF SERVICE

I hereby certify that on this **10th** day of June 2020, a copy of the foregoing document has been served via email upon Peter Quinter at peter.quinter@gray-robinson.com.

**BENJAMIN
TROGDON**

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